Strategy Land

Richard Rumelt's Web Journal on Good and Bad Strategy in Business, Politics, and Economics

Corrupt Advice Generates Strategic Myopia

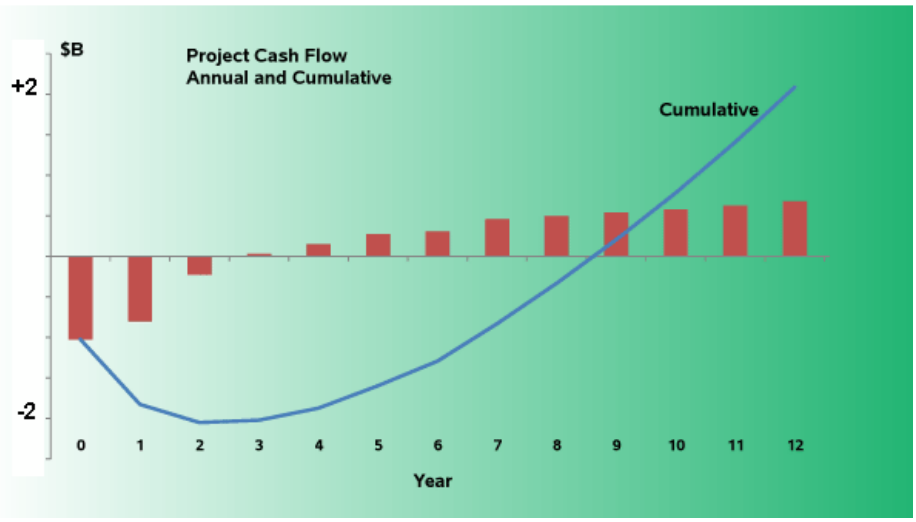
The big risk in capital budgeting is lying, not uncertain cash flows

January 9, 2011 By Richard Rumelt

Strategy work involves large stakes and strategic decisions mobilize large chunks of resources. If there is a lack of integrity in the system, it becomes difficult to design good strategies. Any choice necessarily shifts resources from some uses to other uses and, if advisers are not disinterested, their advice will be corrupt. When advice is corrupt, and leaders are bright enough to know that it probably is corrupt, it will be virtually impossible to enact subtle or longer-term strategies. Thus, corruption breeds myopia, the antithesis of strategy. Absent a true strategic genius at the helm, the more corrupt the system, the more myopic the strategy.

My client was Harold, the head of business development at one of the largest fifty companies in the United States. We did good strategy work on a potential new product. But that project was small potatoes compared to the big event, Project T. The company's main business was mature and in decline and Project T promised a youthful replacement, one that would restore the company's profits and prestige. Project T was too big to be handled by Harold; It was being managed directly by the Senior Vice President for New Products, Clarence. A fast-tracked 40-year old manager, Clarence was smart and ambitious. As far as I could tell, he had an almost unlimited budget to spend on Project T.

I had wanted to get more involved in Project T and, as it moved to a final decision, Clarence began to use me as a sounding board for his presentations. As I learned more and more of the details, I began to doubt. The market test results were odd. Clarence was dwelling on the lack of price sensitivity, pitching it to mean high profits. But the data also seemed to indicate that people didn't like the product very much. For a significant sub-segment of buyers, the estimated intercept of the demand curve was negative. That is, they would pay to get the product out of their homes. Clarence argued that that was an artifact—overall willingness-to-pay would improve when ancillary services were provided. Then, there was the issue of competition. None of the ideas being deployed in Project T were proprietary and most had actually come from outside firms. The financial projections were based on capturing most of the market and experiencing only price pressure from substitute products, not direct competitors. Was that reasonable?



It was a week before the final presentation to a special committee of the board. Working late, Harold, Clarence, and I were going over the slides and hand-out booklet. It was printed on velum with a gray spiral binding and a dark blue cover. Clarence was staring at the page he believed would get the most attention from the board committee. The board would not ask about the subtleties of demand curves or even models of competition. They would focus on this projection of cumulative cash flow over time. The graph showed a quick drop to about -$2 billion as investments were made. Then, as profits accumulated over the years, it climbed up, crossing the zero axis in the ninth year. Consultants had also calculated the risk-adjusted value of the project, and even considered some real-options analysis. But Clarence said that the board committee would only look at payback—how soon the company would recoup its investment. And, looking at the nine year crossing—nine years to payback—Clarence was worried.

As we sat there at ten in the evening, Clarence took a pair of scissors and cut that payback line right out of the page. He took some transparent tape and used it to stick the payback curve back on the page, but shifted three years to the left. The chart now showed a payback in six years.

"Send the revision to the printer," he told his assistant, and began to put on his jacket.

"Clarence," I said, "you have just tossed out $60 million in analytical consulting and test-market studies. What was the sense of all that if you are going to toss it out?"

"Professor Rumelt," Clarence said, looking me in the eye, "you do not understand strategic planning. Strategic planning is a battle for corporate resources. It is a battle I intend to win."

Project T never went forward. The board decided that the project was too risky and, as Clarence had worried, they wanted a faster kick. The next year, the company sold off two divisions and did a major acquisition. Clarence moved on to another senior position in another global firm.

With the end of the lavishly funded study work on Project T, the conventions on the topic stopped, two specialist report-writing firms closed their doors, and several consulting companies had to shift resources out of what had been growing practice areas. After the project's cancellation, the buzz of activity vanished into thin air. Mistaken for an "industry," the conventions of consultants had been a mirage, a series of studies of expectations based on reading other studies—reflections of reflections—all paid for by Clarence's employer.

The problem Clarence presents occurs whenever knowledge, resources, and decision-rights are not co-located in the same individual. Once you have to ask someone else how to allocate your

resources, there is a potential problem. And when you have to ask someone else to advise you on allocating a third person's resources, things get even stickier. Consequently, the quality of strategy work is limited by the amount of honesty and integrity in the system. The best strategy work is rarely delegated, but is done by the senior executive, or a small group of very senior executives, in discussion with highly trusted advisers.

A system that lacks integrity will fail to utilize all of the knowledge and competence in the system and will act myopically. To see why, look at the interplay of strategy and counter-strategy in the process of planning itself.

- Clarence had an incentive to lie because it was not his money at risk. If the project did not work out, he would be first to know and he would be the first out, blaming those left behind for fouling things up. If it did work out, he had much to gain. Winning such a commitment of corporate resources would be a feather in his cap and almost certainly lead to more power and pay within the company or elsewhere. (Technically, Clarence faced a convex payoff, shaped like a call option. Thus, he benefited from increases, rather than decreases, in risk. For more on this subject, see How Bonuses Promote Excessive Risk-Taking.)

- Although the board committee members were not knowledgeable about the technology involved, they were not stupid. They were aware of the existence of behavior like Clarence's and they knew that misrepresentations are most likely to be about the more distant future. They would, consequently, discount promises about more distant profits, forcing the company to behave myopically for good reasons. Insisting on a four-year payback was, perhaps, a sensible response to a system that includes actors like Clarence.

- The board committee would know that the most likely way to misrepresent things would be buried in the more complex and sophisticated analyses. The cash flows Clarence forecast were the product of complex economic models containing hundreds of assumptions about consumer behavior, competition, future prices, and costs. Consequently, the board committee would tend to discount the results from these kinds of sophisticated analyses, and over-weight their own intuition. Their own judgments would be based on less information, but might also be less biased. Thus, a second form of myopia was created—an unwillingness to employ outside data and reasoning.

Economists call this kind of situation an "agency" problem and a great deal of intellectual energy has been expended in trying to figure out how to produce good decisions in such messy situations. In the case of Clarence, there is no neat answer without some system of ex-post settling up—some way of holding him accountable for the outcome of the decision after six or ten years have passed. But any such system is incompatible with dynamic organizations and fast-track executive careers. In a few years, Clarence will have been promoted or moved on to another company, the project may have been re-organized, and subsequent decisions by other managers will blur the connections between outcomes and the original decision.

Tagged management, myopia, strategic planning | 5 Comments

5 Responses to *Corrupt Advice Generates Strategic Myopia*

Angela M. [January 12, 2011 at 7:29 am]
I have to say that this piece really opened my eyes. I have a degree in policy analysis and work in the beltway. It has always been a bit of a mystery as to why sound analyses are ignored. Some of it is that the political decision-makers are self-interested pukes. But I now see that they also have no real way of separating sound arguments from self-serving crap. Thank you for the insight.

Reply

Paul Harshaw [January 15, 2011 at 8:44 pm]

Your Clarence sounds like a piece of work. I think he is now my boss!

Reply

Jeremy Cholan [January 15, 2011 at 11:33 pm]
I have a problem somewhat like this in my company. The three key executives sit on the investment committee and tussle over who gets funded. Is there a way out of this mess?

Reply

Richard Rumelt [February 27, 2011 at 2:22 am]
The standard answer is have investment decisions made by someone other than the competing executives.

Reply

Divya [July 29, 2011 at 2:11 am]
The problem Clarence presents occurs whenever knowledge, resources, and decision-rights are not co-located in the same individual. Technically, Clarence faced a convex payoff, shaped like a call option. Thus, he benefited from increases, rather than decreases, in risk.

Very insightful and true in organization behaviour I've seen.

Reply

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